

7.3 FEW THINGS TO KEEP IN MIND WHILE CREATING FINANCIAL PROJECTIONS

Previously we discussed how to create the Excel sheet and fill in the details.

Now let's discuss a few things you must remember while creating the projection sheet.

KPI DRIVEN ASSUMPTIONS

ASSETS NEEDED FOR THE REVENUE

HOW WILL YOU FUND THE ASSETS AND
WHAT IS THE COST OF CAPITAL?

KNOW YOUR COST

ALWAYS START WITH BLANK EXCEL

USE YOUR PROJECTIONS FOR OPERATIONS

ALLOW FOR SCENARIOS

YOUR NUMBERS MUST BE ACCORDING TO
THE BUSINESS ECONOMICS

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